PulteGroup (NYSE: PHM)

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Company Overview

PulteGroup, Inc. (NYSE: PHM) is one of America's largest homebuilding companies, founded in 1950 and headquartered in Atlanta, Georgia. Having delivered over **875,000 homes** throughout its lifetime, the company operates across **47 markets in 26 states**[1]. PHM operates a multi-brand portfolio broken into: Centex (first-time buyers), Pulte Homes (move-up brand), Del Webb (community residences catered to homeowners aged 55+), and DiVosta, John Wieland Homes and Neighborhoods, and American West (luxury)[2].

PHM makes its revenue through Homebuilding at **$16.7B** (~98% of total revenue) and Financial Services at **$388.7M** (~2% of total revenue) for FY 2025, totaling **$17.3B** – $0.6B less than FY24. As of 4/15/2026, PHM's market cap was 23.15B, EV/EBITDA of 7.58, and a forward P/E ratio of 10.79. With comps mean of 9.38 and 123.20 respectively, PHM is significantly undervalued with promising growth potential.

Investment Thesis

1) **Del Webb Moat and Active Adult Tailwind:** The Del Webb brand consistently dominates in the active adult (55+) housing segment. Buyers in this segment are disproportionately cash purchasers, helping to alleviate sensitivity to mortgage rate fluctuations. While this segment makes up **22% of all homes** sold in 2025, Del Webb Explore will attempt to **bring younger generations** to this product line[3].
2) **Capital Deployment Efficiency through Asset Light Model:** PHM uses one of the most capital-efficient models in the homebuilding sector, using an "asset light" land strategy, **holding approximately 60% of its land via options** rather than outright ownership. This is seen with their **Debt/Equity ratio** of **0.18**[4], the lowest of the other homebuilding companies, showing a minimal amount of leverage. Additionally, PHM can achieve a **return on equity of 17.67% and ROIC of 15.07%** which are the strongest in the sector, showing effective capital deployment. Additionally, PHM is shifting to a **build-to-order** model this year. This change will reduce the amount of inventory they will have to hold, while **increasing margins**.
3) **Margin Premium and Returns over Volume Strategy:** PHM is consistently able to return higher margins than its competition, with **26.7% gross margin** compared to 23.27%, 16.72%, and 21.24% of D.R. Horton Inc., Lennar Corp, and NVR Inc. respectively. Additionally, management is regarded as quite disciplined, conservative in land underwriting, and highly responsive to macroeconomic shifts, indicating a top-down mission to preserve value throughout the business.

Catalysts

1) **St. Joe Partnership – Florida Expansion:** In April 2026, PHM announced a strategic partnership with the St. Joe Company to develop over **1,300 homesites** in Bay County, Florida (with options to expand to 2,653 lots). This will enable them to enter a new market, Northwest Florida, with development anticipated to start in **2027**[5].
2) **Mortgage Rate Easing and Spring Demand Recovery:** Currently, mortgage rates have been averaging ~6.8% reducing the affordability of homes. However, there is belief that mortgage rates will creep downwards which will improve affordability[6].

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[1] PulteGroup Inc., "Form 10-K for Fiscal Year Ended December 31, 2025," EDGAR, Securities and Exchange Commission, 2025, https://www.sec.gov/ix?doc=/Archives/edgar/data/0000822416/000082241626000007/phm-20251231.htm

[2] https://pultegroupinc.com/about/our-brands/

[3] https://newsroom.pultegroup.com/del-webb-explore-breaks-ground-on-model-homes-at-north-river-ranch/#

[4] https://finviz.com/quote.ashx?t=PHM&p=d

[5] https://araverus.com/markets/stocks/PHM

[6] https://finance.yahoo.com/personal-finance/mortgages/article/mortgage-rate-predictions-for-the-next-5-years-where-rates-could-land-2030-195826907.html

Risks and Mitigations

1) **Rate Sensitivity of Move-Up and Active Adult Buyers:** PHM's move-up buyer base is more willing and able to deploy purchase decisions, making demand more rate-elastic. However, PHM has a high proportion of active adult cash buyers through its Del Webb brand, and the asset-light model prevents necessary downside as capital is not locked up in land.
2) **Tariffs and Construction Costs Inflation:** These tariffs can reduce gross margins and have been labeled as a cost headwind for 2026 by PHM's management. However, PHM's build-to-order transition will allow its pricing to be adjustable to account for tariffs.